

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

**REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2024**

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

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**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the financial year ended 31 March 2024.

PRINCIPAL ACTIVITIES

The Company is principally engaged in software development and information technology outsourcing.

RESULTS

	RM
Net profit for the year after taxation, representing total comprehensive income	<u>644,880</u>

DIVIDENDS

No dividends have been paid or declared since the end of the previous financial year. The directors do not recommend any dividend payment in respect of the current financial year.

DIRECTORS

The directors in office during the financial year and during the period from the end of the financial year to the date of the report are:-

Jacob Pillay
Taibah Binti Abdul Rahman @ Ling Kiong
Nair Harish Aravindakshan

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, none of the Directors who held office at the end of the financial year held any shares or debentures in the Company or its holding company during the financial year.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no director of the Company has received or become entitled to receive any benefit (other than the directors' emoluments as disclosed in the notes to the financial statements) by reason of a contract made by the Company or by a related corporation with the director, or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company a party to any arrangement whose object is to enable the directors to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

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**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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DIRECTORS' REPORT

DIRECTORS' REMUNERATION

Professional fees paid to a company which certain Directors have interests

RM
22,500

INDEMNITY AND INSURANCE FOR DIRECTORS AND OFFICERS

There were no indemnity given to or insurance effected for any directors, officers and auditors of the Company in accordance with Section 289 of the Companies Act 2016.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the current financial year other than those disclosed in the financial statements.

ISSUE OF SHARES

The Company did not issue any new shares during the financial year.

SHARE OPTIONS

No options have been granted by the Company to any parties during the financial year to take up unissued shares of the Company.

No shares have been issued during the financial year by virtue of the exercise of any option to take up unissued shares of the Company. As at the end of the financial year, there were no unissued shares of the Company under options.

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps:

- (a) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts, and are satisfied that there were no bad and doubtful debts; and
- (b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the values of current assets as shown in the accounting records of the Company had been written down to an amount which the current assets might be expected so to realise.

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**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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DIRECTORS' REPORT

OTHER STATUTORY INFORMATION – CONT'D

At the date of this report, the directors of the Company are not aware of any circumstances:

- (a) which would render it necessary to write off bad debts or the making of allowance for doubtful debts; or
- (b) which would render the values attributed to the current assets in the financial statements of the Company misleading; or
- (c) which have arisen which would render adherence to the existing methods of valuation of assets or liabilities of the Company misleading or inappropriate.

At the date of this report, there does not exist:

- (a) any charge on the assets of the Company that has arisen since the end of the financial year which secures the liabilities of any other person; or
- (b) any contingent liability in respect of the Company that has arisen since the end of the financial year.

No contingent or other liability of the Company has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

At the date of this report, the directors are not aware of any circumstances, not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements of the Company misleading.

In the opinion of the directors:-

- (i) the result of the Company's operations during the financial year was not substantially affected by any item, transaction or event of a material and unusual nature; and
- (ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

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MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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DIRECTORS' REPORT

HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

AUDITORS

The auditors, Mustapha, Khoo & Co., have indicated their willingness to continue in office.

AUDITORS' REMUNERATION

Auditors' remuneration

RM
10,000

Signed on behalf of the Board, as approved by the Board in accordance with a resolution of the Directors,


Jacob Pillay
Director


Nair Harish Aravindakshan
Director

Dated: **1 6 AUG 2024**

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS
Pursuant to Section 251(2) of the Companies Act 2016

We, Jacob Pillay and Nair Harish Aravindakshan, being two of the directors of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do hereby state that, in the opinion of the directors, the financial statements set out on pages 10 to 34 are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2024 and financial performance of the Company for the financial year ended 31 March 2024 in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016.

Signed in accordance with a resolution of the Directors,


Jacob Pillay
Director


Nair Harish Aravindakshan
Director

Dated: 16 AUG 2024

STATUTORY DECLARATION
Pursuant to Section 251(1)(b) of the Companies Act 2016

I, Nair Harish Aravindakshan, being the director primarily responsible for the financial management of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do solemnly and sincerely declare that the financial statements set out on pages 10 to 34 are, to the best of my knowledge and belief, correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Notaries Act 1952.

Subscribed and solemnly
declared by the abovenamed
at Bangalore, India.

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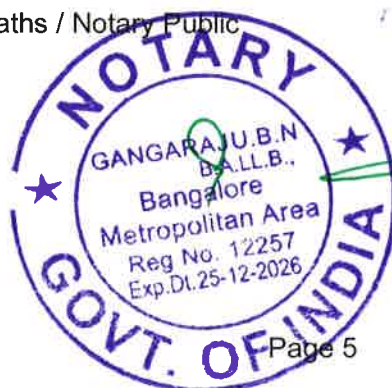


Nair Harish Aravindakshan
Director

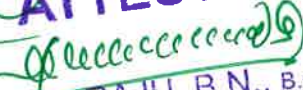
16 AUG 2024

Before me,

Commissioner for Oaths / Notary Public





ATTESTED

GANGARAJU B.N., B.A.L.L.B.
ADVOCATE & NOTARY PUBLIC GOVT. OF INDIA
8, Opp. N.P. Factory, Behind Navaneeth Wines
Kavalbyrasandra, R.T. Nagar Post,
Bengaluru - 560 032
Mob: 9446537557 / 8660401967

16 AUG 2024



Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)**

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of MINDTECK SOFTWARE MALAYSIA SDN. BHD., which comprise the statement of financial position as at 31 March 2024, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the financial year then ended, and a summary of significant accounting policies, as set out on pages 10 to 34.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2024, and of its financial performance and its cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the information included in the directors' report but does not include the financial statements of the Company and our auditors' report thereon.



Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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Information Other than the Financial Statements and Auditors' Report Thereon – Cont'd

Our opinion on the financial statements of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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Auditors' Responsibilities for the Audit of the Financial Statements – Cont'd

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



MUSTAPHA, KHOO & CO (AF:0599)
Chartered Accountants, Audit & Assurance

Independent Member of
PrimeGlobal

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58200 Kuala Lumpur, Malaysia.
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Company No: 200501036816 (718964-U)

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the contents of this report.

Mustapha, Khoo & Co
AF: 0599
Chartered Accountants

Kuala Lumpur

Dated: **1 6 AUG 2024**

Khoo Siong Kee
No. 00791/04/2026 J
Chartered Accountant



Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2024

	Note	2024 RM	Restated 2023 RM
ASSETS			
NON-CURRENT ASSETS			
Plant and equipment	6	156,449	163,903
Intangible asset	7	-	-
Right-of-use assets	8	35,880	794
		<u>192,329</u>	<u>164,697</u>
CURRENT ASSETS			
Trade and other receivables	9	5,709,189	4,270,980
Amount due from related companies	10	306,484	145,228
Current tax assets		40,472	26,913
Cash and bank balances	11	1,671,119	1,972,020
		<u>7,727,264</u>	<u>6,415,141</u>
TOTAL ASSETS		<u><u>7,919,593</u></u>	<u><u>6,579,838</u></u>
EQUITY AND LIABILITIES			
EQUITY			
Share capital	12	250,000	250,000
Retained profits	13	5,461,928	4,817,048
TOTAL EQUITY		<u><u>5,711,928</u></u>	<u><u>5,067,048</u></u>
NON-CURRENT LIABILITY			
Lease liabilities	14	829	-
CURRENT LIABILITIES			
Other payables		1,797,783	1,267,931
Amount due to a related company	10	117,873	106,978
Amount due to holding company	15	254,478	136,981
Lease liabilities	14	36,702	900
		<u>2,206,836</u>	<u>1,512,790</u>
TOTAL LIABILITIES		<u><u>2,207,665</u></u>	<u><u>1,512,790</u></u>
TOTAL EQUITY AND LIABILITIES		<u><u>7,919,593</u></u>	<u><u>6,579,838</u></u>

The accompanying notes form an integral part of these financial statements.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2024

	Note	2024 RM	Restated 2023 RM
Revenue	16	19,587,863	13,218,975
Cost of sales	17	(17,169,640)	(11,400,645)
Gross profit		<u>2,418,223</u>	<u>1,818,330</u>
Other income	18	99,703	12,901
Total income		<u>2,517,926</u>	<u>1,831,231</u>
Administrative and operating expenses	19	(1,751,482)	(1,527,476)
Profit before finance cost and taxation		<u>766,444</u>	<u>303,755</u>
Finance cost	21	(7,623)	(71)
Profit before taxation		<u>758,821</u>	<u>303,684</u>
Taxation	22	(113,941)	(36,382)
Net profit for the year after taxation, representing total comprehensive income		<u><u>644,880</u></u>	<u><u>267,302</u></u>

The accompanying notes form an integral part of these financial statements.

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MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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**STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2024**

	Share capital RM	Retained profits RM	Total RM
<u>2024</u>			
As at 1 April 2023	250,000	4,817,048	5,067,048
Total comprehensive income for the year	-	644,880	644,880
As at 31 March 2024	<u>250,000</u>	<u>5,461,928</u>	<u>5,711,928</u>
<u>2023</u>			
As at 1 April 2022	250,000	4,549,746	4,799,746
Total comprehensive income for the year	-	267,302	267,302
As at 31 March 2023	<u>250,000</u>	<u>4,817,048</u>	<u>5,067,048</u>

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2024

	Note	2024 RM	Restated 2023 RM
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		758,821	303,684
Adjustments for:			
Depreciation of plant and equipment		50,018	13,383
Depreciation of right-of-use assets		54,594	35,739
Interest income		(1,910)	(1,154)
Lease interest expense		7,623	71
Unrealised foreign exchange (gain) / loss		(12,276)	779
Operating profit before changes in working capital		856,870	352,502
Changes in working capital:			
Increase in trade and other receivables		(1,438,209)	(888,845)
Increase in amount due from related companies		(161,256)	(94,734)
Increase in other payables		529,852	37,074
Increase / (Decrease) in amount due to a related company		10,895	(53,736)
Increase / (Decrease) in amount due to holding company		129,773	(5,308)
Net cash used in operating activities		(72,075)	(653,047)
Interest received		1,910	1,154
Interest paid		(7,623)	(71)
Tax paid		(127,500)	(149,166)
Net cash used in operating activities		(205,288)	(801,130)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of plant and equipment		(42,564)	(170,497)
Lease liabilities paid		(53,049)	(39,821)
Net cash used in investing activities		(95,613)	(210,318)
Net decrease in cash and cash equivalents		(300,901)	(1,011,448)
Cash and cash equivalents at the beginning of the year		1,972,020	2,983,468
Cash and cash equivalents at the end of the year		1,671,119	1,972,020
CASH AND CASH EQUIVALENTS COMPRISE:-			
Cash and bank balances	11	1,671,119	1,972,020

The accompanying notes form an integral part of these financial statements.

Company No: 200501036816 (718964-U)

**MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2024**

1. PRINCIPAL ACTIVITIES AND GENERAL INFORMATION

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a limited company, incorporated and domiciled in Malaysia. The registered office of the Company is situated at 30-3, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park, Off Jalan Kuchai Lama, 58200 Kuala Lumpur.

The principal place of business of the Company is located at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Teknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

All the amounts stated in the financial statements are in Ringgit Malaysia.

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 16 August 2024.

2. HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

3. BASIS OF PREPARATION

(a) Statement of Compliance

The financial statements of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

(b) Adoption of new MFRS and amendments to MFRSs

The Company had adopted the following applicable new MFRS and amendments to MFRSs for the current financial year:-

New MFRSs

MFRS 17 Insurance Contracts

Amendments to MFRSs

MFRS 101 Presentation of Financial Statements

MFRS 108 Accounting Policies, Changes in Accounting Estimates and Errors

MFRS 112 Income Taxes

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2024

3. BASIS OF PREPARATION – CONT'D

(b) Adoption of amendments to MFRSs – Cont'd

The adoption of the above new MFRS and amendments to MFRSs did not have any material impact on the financial statements of the Company and did not result in significant changes to the Company's existing accounting policies, except as discussed below.

Amendments to MFRS 101 Presentation of Financial Statements

The amendments require an entity to disclose its material accounting policy information rather than significant accounting policies. The amendments, amongst others, also include examples of circumstances in which an entity is likely to consider accounting policy information to be material to its financial statements.

Accordingly, the Company disclosed their material accounting policy information in these financial statements. However, the amendments did not result in changes to the accounting policies of the Company.

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective

- (i) The Company have not adopted the following new MFRS and amendments to MFRSs that have been issued, but are yet to be effective:

		Effective for financial periods beginning on or after
<u>New MFRSs</u>		
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
<u>Amendments to MFRSs</u>		
MFRS 7	Financial Instruments: Disclosures	1 January 2024 / 1 January 2026
MFRS 9	Financial Instruments	1 January 2026
MFRS 16	Leases	1 January 2024
MFRS 101	Presentation of Financial Statements	1 January 2024
MFRS 107	Statement of Cash Flows	1 January 2024
MFRS 121	The Effects of Changes in Foreign Exchange Rates	1 January 2025
MFRS 128	Investments in Associates and Joint	Deferred

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2024

3. BASIS OF PREPARATION – CONT'D

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective – Cont'd

- (ii) The Company plan to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below.

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 replaces MFRS 101 Presentation of Financial Statements. It retains many requirements from MFRS 101 without modification.

MFRS 18 introduces two subtotals which are to be presented in the statement of profit or loss - including "operating profit", which has been specifically defined. Income and expenses shall be presented in five categories: operating, investing, financing, income taxes and discontinued operations.

MFRS 18 requires disclosure of explanations of the entity's company-specific measures that are related to the statement of profit or loss, referred to as management-defined performance measures ("MPMs"). The entity is required to reconcile MPMs to a total or subtotal required by MFRS 18 or another MFRS Accounting Standards. MFRS 18 also requires other disclosures, including how each MPM is calculated, what the MPM communication about the entity's financial performance, and any changes made to the MPMs in the year.

MFRS 18 adds new principles for aggregation and disaggregation of information. It requires the entity to classify the expenses in the "operating" category in the profit or loss by nature or function, or both. The entity that classifies operating expenses by functions are required to disclose in the notes to the financial statements, the amount of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventories included in each line in the operating category. Subject to materiality, MFRS 18 requires items presented or disclosed as "other" to be labelled and/or described in as faithfully representative and precise a way as possible.

Amendments to MFRS 16 Leases

The amendments clarify how an entity should subsequently measure the leaseback liability that arises in a sale and leaseback transaction. Although MFRS 16 includes requirements on how to account for a sale and leaseback at the date the transaction takes place, it has not specified how to measure the sale and leaseback transaction when reporting after that date.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2024

3. BASIS OF PREPARATION – CONT'D

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective – Cont'd

- (ii) The Company plan to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below. – Cont'd

Amendments to MFRS 16 Leases

The amendments add subsequent measurement requirements for the right-of-use assets and lease liability arising from a sale and leaseback transaction by clarifying that a seller-lessee in a sale and leaseback transaction shall apply paragraphs 29 to 35 to the right-of-use asset arising from the leaseback and paragraphs 36 to 46 to the lease liability arising from the leaseback. The amendments will not change the accounting for leases other than those arising in a sale and leaseback transaction.

Amendments to MFRS 101 Non-current Liabilities with Covenants

The amendments include specifying that an entity's right to defer settlement of a liability for at least twelve months after the reporting period must have substance and must exist at the end of the reporting period; clarifying that classification of liability is unaffected by the likelihood of the entity to exercise its right to defer settlement of the liability for at least twelve months after the reporting period; clarifying how lending conditions affect classification of a liability; and clarifying requirements for classifying liabilities an entity will or may settle by issuing its own equity instruments.

The latest amendments to MFRS 101 clarify how conditions with which an entity must comply within 12 months after the reporting period affect the classification of a liability. As such, the amendments specify that covenants to be complied with after the reporting date do not affect the classification of debt as current or non-current at the reporting date. Instead, the amendments require an entity to disclose information about these covenants in the notes to the financial statements.

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3. BASIS OF PREPARATION – CONT'D

(c) New MFRS and amendments to MFRSs that have been issued, but are yet to be effective – Cont'd

- (ii) The Company plan to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below. – Cont'd

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures

These narrow scope amendments to MFRS 9 clarify the classification and measurement requirements, including:

- clarify how the contractual cash flows on financial assets with environmental, social and corporate governance and similar features should be assessed, specifically the assessment of interest focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation the entity receives may indicate that it is being compensated for something other than basic lending risks and costs.
- clarify the date on which a financial asset or a financial liability settled via electronic payment systems is derecognised. The Amendments permit an entity to derecognise a financial liability before it delivers cash on the settlement date if specified criteria are met.

Amendments to MFRS 7 introduces new disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that do not relate directly to basic lending risks and costs.

- (iii) The Company are currently performing analysis to quantify the financial effects arising from adoption of the new MFRS and amendments/improvements to MFRSs.

(d) Basis of measurement

The financial statements of the Company have been prepared on the historical cost basis, except as otherwise disclosed.

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4. MATERIAL ACCOUNTING POLICY INFORMATION

(a) Plant and equipment and depreciation

Plant and equipment (other than right-of-use assets) are measured at cost less accumulated depreciation and any accumulated impairment losses.

All other property, plant and equipment (other than right-of-use assets) are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives using the following annual rates:

Office equipment	5 years
Furniture and fittings	5 years
Computers	2 years
Leasehold improvement	5 years

(b) Leases

Lessee accounting

The Company presents right-of-use assets and lease liabilities that do not meet the definition of investment property as separate lines in the statements of financial position.

Short-term leases and leases of low value assets

The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. Accordingly, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

Right-of-use assets

The right-of-use assets (other than leasehold land that measures using revaluation model) are measured at cost less accumulated depreciation and any accumulated impairment losses and adjust for any remeasurement of the lease liabilities.

Leasehold lands are measured at fair value, based on valuations by external independent valuers, less accumulated depreciation on buildings and any impairment losses recognised after the date of revaluation. Valuations are performed with sufficient regularity to ensure that the fair value of the leasehold land does not differ materially from the carrying amount. The gross carrying amount is restated and the difference compared to the revalued amount of asset is absorbed by the accumulated depreciation.

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4. MATERIAL ACCOUNTING POLICY INFORMATION – CONT'D

(b) Leases – Cont'd

Lessee accounting – Cont'd

The right of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease liabilities

The lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate.

The Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

(c) Revenue recognition

Revenue from contracts with customers is recognised by reference to each distinct performance obligation in the contract with customer. Revenue from contracts with customers is measured at its transaction price, being the amount of consideration which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, net of taxes, return, rebates and discounts. Transaction price is allocated to each performance obligation on the basis of the relative standalone selling prices of each distinct good or services promised in the contract. Depending on the substance of the contract, revenue is recognised when the performance obligation is satisfied, which may be at a point in time or over time.

The Company recognises revenue when or as it transfers control over a product or service to customer. An asset is transferred when (or as) the customer obtains control of the asset.

An entity transfers control of a good or service overtime and, therefore, satisfies a performance obligation and recognises revenue over time. If a performance obligation is not satisfied over time, an entity satisfies the performance obligation and recognises revenue at a point in time.

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4. MATERIAL ACCOUNTING POLICY INFORMATION – CONT'D

(d) Financial instruments

(i) Financial assets - subsequent measurement and gains and losses

Debt instruments at amortised cost

The Group and the Company subsequently measure these assets at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

(ii) Financial liabilities - subsequent measurement and gains and losses

The Group and the Company classify the financial liabilities at amortised cost or fair value through profit or loss. Financial liabilities are classified as fair value through profit or loss if it is classified as held for trading, it is a derivative, it is contingent consideration of an acquirer in a business combination or it is designated as such on initial recognition. Financial liabilities at fair value through profit or loss are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss.

The Group and the Company subsequently measure other financial liabilities at amortised cost under the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated by the Directors and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and assumptions that affect the application of the Company's accounting policies and have a significant risk of causing a material adjustment to the carrying amounts of assets, liabilities, income and expenses are outlined below:-

(i) Depreciation of plant and equipment

The cost of plant and equipment is depreciated on the straight-line basis over the assets' useful lives. The management estimates the range of useful lives of these plant and equipment to be 2 to 5 years. However, any changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised.

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5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS – CONT'D

(ii) Impairment of receivables

The Company makes impairment of receivables based on an assessment of the recoverability of the receivables. Impairment is applied to receivables where events or changes in circumstances indicate that the carrying amounts may not be recoverable. The management specifically analyses historical bad debt, customer concentration, customer creditworthiness, current economic trends and changes in customer payment terms when making a judgment to evaluate the adequacy of impairment of receivables. Where expectations differ from the original estimates, the differences will impact the carrying value of receivables.

(iii) Income taxes

There are certain transactions and calculations for which the ultimate tax determination may be different from the initial estimate. Tax liabilities are recognised based on the Company's understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business.

Where the final outcome is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period in which such determination may be different from the initial estimate.

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6. PLANT AND EQUIPMENT

	Office equipment RM	Furniture and fittings RM	Computers RM	Leasehold improvement RM	Total RM
Net carrying amount as at 1 April 2022	1,411	46	5,332	-	6,789
Additions	31,476	39,441	12,730	86,850	170,497
Written-off	-	-	-	-	-
Depreciation charge	(2,620)	(2,344)	(4,054)	(4,365)	(13,383)
Net carrying amount as at 31 March 2023	30,267	37,143	14,008	82,485	163,903
Additions	8,449	-	34,115	-	42,564
Depreciation charge	(7,992)	(7,881)	(16,776)	(17,369)	(50,018)
Net carrying amount as at 31 March 2024	30,724	29,262	31,347	65,116	156,449
Net carrying amount as at 31 March 2023					
Cost	41,093	102,659	62,650	86,850	293,252
Accumulated depreciation	(10,826)	(65,516)	(48,642)	(4,365)	(129,349)
Net carrying amount	30,267	37,143	14,008	82,485	163,903
Net carrying amount as at 31 March 2024					
Cost	49,542	102,659	96,765	86,850	335,816
Accumulated depreciation	(18,818)	(73,397)	(65,418)	(21,734)	(179,367)
Net carrying amount	30,724	29,262	31,347	65,116	156,449

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7. INTANGIBLE ASSET

	Software RM
Net carrying amount as at 1 April 2022	1
Written-off	(1)
Net carrying amount as at 31 March 2023	<u>-</u>
Net carrying amount as at 31 March 2023	
Cost	-
Amortisation	-
Net carrying amount	<u>-</u>

8. RIGHT-OF-USE ASSETS

	Building RM
Net carrying amount as at 1 April 2022	36,533
Depreciation charge	(35,739)
Net carrying amount as at 31 March 2023	794
Additions	89,680
Depreciation charge	(54,594)
Net carrying amount as at 31 March 2024	<u>35,880</u>

The Company lease a building that run 2 years, with an option to renew the lease after that date.

(i) Extension option

Lease of office building contains extension option exercisable by the Company up to two years before the end of the non-cancellable contract period. Where practicable, the Company seek to include extension option in new lease to provide operational flexibility. The extension option held is exercisable only by the Company and not by the lessor. The Company assess at lease commencement whether it is reasonably certain to exercise the extension option. The Company reassess whether it is reasonably certain to exercise the option if there is a significant event or significant change in circumstances within its control.

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NOTES TO THE FINANCIAL STATEMENTS
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8. RIGHT-OF-USE ASSETS – CONT'D

(ii) Significant judgement and assumptions in relation to leases

The Company assess at lease commencement by applying significant judgement whether it is reasonably certain to exercise the extension option. The Company consider all facts and circumstances including their past practice and any cost that will be incurred to change the asset if an option to extend is not taken, to help them determine the lease term.

The Company also applied judgement and assumptions in determining the incremental borrowing rate of the respective leases. The Company first determine the closest available borrowing rates before using significant judgement to determine the adjustments required to reflect the term, security, value or economic environment of the respective leases.

9. TRADE AND OTHER RECEIVABLES

	2024	Restated
	RM	2023
		RM
Trade receivables	6,387,078	4,863,774
Less: Impairment loss	(794,376)	(794,376)
	<u>5,592,702</u>	<u>4,069,398</u>
Other receivables, deposits and prepayments		
Other receivables	3,827	9,065
Deposits	30,999	30,039
Prepayments	81,661	162,478
	<u>116,487</u>	<u>201,582</u>
Total trade and other receivables	<u>5,709,189</u>	<u>4,270,980</u>

Trade receivables are non-interest bearing and normal credit terms offered by the Company range from 30 days to 90 days (2023: 30 days to 90 days) from the date of invoices.

10. AMOUNT DUE FROM / (TO) A RELATED COMPANY

Amount due from / (to) a related company is unsecured, interest free and repayable on demand.

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11. CASH AND BANK BALANCES

	2024	2023
	RM	RM
Cash in hand	1,098	1,337
Cash at banks	1,670,021	1,970,683
	<u>1,671,119</u>	<u>1,972,020</u>

12. SHARE CAPITAL

	Number of ordinary shares			
	2024	2023	2024	2023
	Units	Units	RM	RM
Issued and fully paid:				
At the beginning and end of the financial year	<u>250,000</u>	<u>250,000</u>	<u>250,000</u>	<u>250,000</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

13. RETAINED PROFITS

The retained profits of the Company are available for distributions by way of cash dividends or dividends in specie. Under the single tier system of taxation, dividends payables to shareholders are deemed net of income taxes. There are no potential income tax consequences that would result from the payment of dividends to shareholders.

14. LEASE LIABILITIES

	2024	2023
	RM	RM
Future lease payments payable:		
- Not later than one year	39,892	900
- More than one year to five years	900	-
Total future lease payments	<u>40,792</u>	<u>900</u>
Less: Future finance charges	<u>(3,261)</u>	<u>-</u>
Present value of lease payments	<u>37,531</u>	<u>900</u>
Payment due within 12 months as current	36,702	900
Non-current portion	829	-
Total lease liabilities	<u>37,531</u>	<u>900</u>

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15. AMOUNT DUE TO HOLDING COMPANY

Amount due to holding company is unsecured, interest free and repayable on demand.

16. REVENUE

	2024	2023
	RM	RM
Software development and information technology outsourcing fee	<u>19,587,863</u>	<u>13,218,975</u>

17. COST OF SALES

	2024	Restated 2023
	RM	RM
Included in the above is the following expense:- Staff costs (Note 20)	<u>11,578,722</u>	<u>6,793,266</u>

18. OTHER INCOME

	2024	2023
	RM	RM
Interest income	1,910	1,154
Sundry income	85,517	11,747
Unrealised foreign exchange gain	<u>12,276</u>	<u>-</u>
	<u>99,703</u>	<u>12,901</u>

19. ADMINISTRATIVE AND OPERATING EXPENSES

	2024	Restated 2023
	RM	RM
Included in the above are the following expenses:-		
Auditors' remuneration	10,000	10,000
Depreciation of plant and equipment	50,018	13,383
Depreciation of right-of-use assets	54,594	35,739
Realised foreign exchange loss	31,662	68,361
Rental of premises	-	25,523
Staff costs (Note 20)	591,880	547,740
Unrealised foreign exchange loss	<u>-</u>	<u>779</u>

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20. STAFF COSTS

	2024	Restated 2023
	RM	RM
<u>Direct cost (Note 17)</u>		
Salaries, bonuses, allowance and welfare	10,287,000	6,219,758
Defined contribution plans	818,008	344,971
Social security contributions	118,370	61,122
Other benefits	355,344	167,415
	<u>11,578,722</u>	<u>6,793,266</u>
<u>Administrative (Note 19)</u>		
Salaries, bonuses and allowance	540,406	496,253
Defined contribution plans	29,103	24,034
Social security contributions	4,411	4,093
Other benefits	17,960	23,360
	<u>591,880</u>	<u>547,740</u>
Number of employees at end of year (excluding directors)	<u>135</u>	<u>77</u>

Staff costs above exclude remuneration of directors of the Company.

21. FINANCE COST

	2024	2023
	RM	RM
Lease interest expense	<u>7,623</u>	<u>71</u>

22. TAXATION

	2024	2023
	RM	RM
Current year's provision	128,842	94,316
Over provision of taxation in prior year	<u>(14,901)</u>	<u>(57,934)</u>
	<u>113,941</u>	<u>36,382</u>

A reconciliation of income tax expenses applicable to profit before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

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22. TAXATION – CONT'D

	2024	2023
	RM	RM
Profit before taxation	<u>758,821</u>	<u>303,684</u>
Income tax using Malaysia tax rate at 24%	182,117	72,884
Non-taxable income	(2,946)	-
Tax effects of non-deductible expenses	(52,217)	26,712
Over provision of taxation in prior year	(14,901)	(57,934)
Others	1,888	(5,280)
Tax expense	<u>113,941</u>	<u>36,382</u>

23. SIGNIFICANT RELATED PARTY TRANSACTION

The Company has related party relationship with the following party: -

<u>Name of related party</u>	<u>Relationship</u>
Mindteck (India) Limited	Holding company
Mindteck Singapore Pte. Ltd.	Related company

(a) Significant related party transactions

	2024	2023
	RM	RM
Mindteck (India) Limited		
- Corporate finance fee	<u>260,979</u>	<u>150,750</u>
Mindteck Singapore Pte. Ltd.		
- Corporate finance fee	<u>165,194</u>	<u>231,338</u>
Professional fees paid to a company which certain Directors have interests	<u>22,500</u>	<u>36,500</u>

The directors are of the opinion that, all the above transactions have been entered into in the normal course of business and have been established on terms and conditions that are not materially different from that obtainable in transactions with unrelated parties.

Information regarding the outstanding balances arising from related party transactions as at 31 March 2024 are disclosed in Note 10 and 15.

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24. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

	2024	2023
	RM	RM
<u>Amount due to a related company</u>		
SGD	94,841	87,840
USD	<u>23,032</u>	<u>19,138</u>
<u>Amount due to holding company</u>		
USD	<u>254,107</u>	<u>136,981</u>

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

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24. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(iii) Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

(iv) Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

(v) Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

(b) Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

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**NOTES TO THE FINANCIAL STATEMENTS
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24. FINANCIAL INSTRUMENTS – CONT'D

(c) Classification of financial instruments

	2024	Restated
	RM	2023
	RM	RM
<u>Financial assets:</u>		
- Trade and other receivables (excluded prepayments)	5,627,528	4,108,502
- Amount due from a related company	306,484	145,228
- Cash and bank balances	1,671,119	1,972,020
	<u>7,605,131</u>	<u>6,225,750</u>
<u>Financial liabilities:</u>		
- Other payables	1,797,783	1,267,931
- Amount due to a related company	117,873	106,978
- Amount due to holding company	254,478	136,981
- Lease liabilities	37,531	900
	<u>2,207,665</u>	<u>1,512,790</u>

(d) Category of financial instruments

	2024	2023
	RM	RM
<u>Receivables</u>		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	5,453,512	4,069,398
- Existing customer less than 6 months with no defaults in the past	139,190	-
Related parties		
- Related parties more than 6 months with no defaults in the past	295,307	145,228
- Existing customer less than 6 months with no defaults in the past	11,177	-
	<u>5,899,186</u>	<u>4,214,626</u>
<u>Cash at banks</u>		
- AAA	<u>1,670,021</u>	<u>1,970,683</u>

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**NOTES TO THE FINANCIAL STATEMENTS
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24. FINANCIAL INSTRUMENTS – CONT'D

(e) Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholders value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust capital structure, the Company may adjust the dividend payment to shareholders or issue new shares, where necessary.

The Company's approach in managing capital is based on defined guidelines that are approved by the Board. No changes were made in the objectives, policies or processes during the financial year.

The Company is not subject to any externally imposed capital requirements.

The Company monitors capital by reference to its indebtedness position, which is derived from the total financial debts divided by the total equity plus total financial debts. The Company's strategy is to maintain the balance between debt and equity and to ensure sufficient operating cash flows to repay its liabilities as and when they fall due.

25. RECLASSIFICATION OF COMPARATIVE FIGURES

During the year, the Company changed the classification of certain items in its financial statements, thus, the Company has reclassified the following comparative figures to conform with the current years' presentation:-

	As previously reported RM	Reclassification RM	Restated RM
<u>Statement of Financial Position</u>			
CURRENT ASSETS			
Trade and other receivables	5,004,860	(733,880)	4,270,980
CURRENT LIABILITIES			
Other payables	<u>2,001,811</u>	<u>(733,880)</u>	<u>1,267,931</u>
<u>Statement of Comprehensive Income</u>			
Cost of sales	11,218,360	182,285	11,400,645
Administrative and operating expenses	<u>1,709,761</u>	<u>(182,285)</u>	<u>1,527,476</u>

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25. RECLASSIFICATION OF COMPARATIVE FIGURES – CONT'D

During the year, the Company changed the classification of certain items in its financial statements, thus, the Company has reclassified the following comparative figures to conform with the current years' presentation:- – Cont'd

	As previously reported RM	Reclassification RM	Restated RM
<u>Statement of Cash Flows</u>			
CASH FLOWS FROM OPERATING ACTIVITIES			
Changes in working capital:			
Increase in trade and other receivables	(1,622,725)	733,880	(888,845)
Increase in other payables	<u>770,954</u>	<u>(733,880)</u>	<u>37,074</u>

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DETAILED PROFIT AND LOSS ACCOUNTS
FOR THE YEAR ENDED 31 MARCH 2024

	2024 RM	Restated 2023 RM
Revenue	19,587,863	13,218,975
Cost of sales (APPENDIX I)	(17,169,640)	(11,400,645)
Gross profit	2,418,223	1,818,330
Other income:		
Interest income	1,910	1,154
Sundry income	85,517	11,747
Unrealised foreign exchange gain	12,276	-
Total income	2,517,926	1,831,231
Administrative and operating expenses (APPENDIX II)	(1,751,482)	(1,527,476)
Profit before finance cost and taxation	766,444	303,755
Finance cost:		
Lease interest expense	(7,623)	(71)
Profit before taxation	758,821	303,684
Taxation	(113,941)	(36,382)
Net profit for the year after taxation, representing total comprehensive income	644,880	267,302
Retained profits brought forward	4,817,048	4,549,746
Retained profits carried forward	5,461,928	4,817,048

Company No: 200501036816 (718964-U)

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2024

	2024 RM	Restated 2023 RM
Employment pass expenses	73,040	86,126
EPF	818,008	344,971
HRDF	73,502	27,891
Insurance	281,842	139,524
Project supplies	174,062	158,859
Salaries, wages and staff welfare expenses	10,287,000	6,219,758
Socso	118,370	61,122
Sub contractor costs	5,070,953	4,197,382
Transport expenses	272,863	165,012
	<u>17,169,640</u>	<u>11,400,645</u>

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)ADMINISTRATIVE AND OPERATING EXPENSES
FOR THE YEAR ENDED 31 MARCH 2024

	2024	Restated 2023
	RM	RM
Audit fee disbursement	1,331	1,241
Auditors' remuneration	10,000	10,000
Bank charges	11,893	11,037
Bonus	67,400	64,788
Corporate finance fees	426,173	382,088
Depreciation of plant and equipment	50,018	13,383
Depreciation of right-of-use assets	54,594	35,739
Employment pass expenses	3,177	5,050
EPF	29,103	24,034
Hire charges	22,903	35,535
HRDF	2,494	1,974
Insurance	15,466	21,386
Job portal expenses	80,070	73,603
Meals and entertainment	18,340	14,758
Membership	5,445	82
Office repair and maintenance	17,762	5,818
Postage and courier	2,994	4,879
Printing and stationery	1,017	1,636
Professional fees	43,320	64,107
Realised foreign exchange loss	31,662	68,361
Recruitment and placement fee	41,216	84,501
Rental of premises	-	25,523
Salary and leave encashment	473,006	431,465
Socso	4,411	4,093
Stamping fees	819	754
Telephone	21,057	14,751
Travelling expenses	301,089	122,117
Unrealised foreign exchange loss	-	779
Utilities	14,722	3,994
	<u>1,751,482</u>	<u>1,527,476</u>